BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

October 14, 2025

- **Panic Bid in Freight Sends Spot Rates Flying as Uncertainty Skyrockets –** It took only a brief press release from the Chinese government to shift sentiment and push both dry bulk freight futures and spot rates higher as market participants **grappled with uncertainty**. The prospect of port fees on US-linked ships, a policy echoing a measure the United States is anticipated to implement, has prompted many dry bulk players to seek clarity, in the process pushing freight costs higher. Although the **US shipping industry** has **limited** direct **exposure** to dry bulk, the policy appears to touch a broad spectrum of potential linkages, including **trading, financing, and ownership**. Consequently, in the absence of clear guidance, freight rates have moved along the path of least resistance, which traditionally has been up, amid great uncertainty. The port-fee policy is scheduled for implementation on October 14, and market participants are awaiting details on its scope and implications. For the moment, the **overall commodity shipping market remains confused**. While the potential impact could range from minimal to substantial, the fundamental balance of cargoes versus ships has not materially changed. Accordingly, any effects are likely to be **short-lived**, given China's significant role in dry-bulk trade and its influence on freight costs, independent of policy shifts and trade frictions.

- **Port Fees Correspond to Higher Freight, but Who Pays Is What Matters –** Freight mechanics remain inherently complex, as different stakeholders bear distinct components of the transport cost. Given the predominantly "net" nature of dry-bulk freight, especially in the context of freight futures, an increase in gross freight prices can translate into a **disproportionately larger rise** in net freight once a fixed deduction is applied. Yet the dynamics are not straightforward. Key questions arise: Will charterers pivot to non–US-linked ships to avoid port fees? If so, are enough non–US-linked vessels available to execute such a strategy? How will the substantial influence of US-linked **trading houses** and commodity **traders**, which control a large portion of the global dry-bulk fleet, shape outcomes? If a **two-tier market** emerges while these policies remain in place, what is the true price of net freight on a given route? Will there be an inclusive versus an exclusive freight rate, akin to the EU's carbon-adjustment mechanism for tankers? If both concepts are possible, which would prevail, and would such a disruption prove durable? There are **no definitive answers** at present. History suggests that rates tend to converge toward the supply–demand balance over time, similar to what occurred in the tanker sector. In our view, it is the **compressed lead time** to implementation (less than a week), rather than to a fundamentally higher equilibrium for the broader dry-bulk market versus a week ago that has **pushed rates sharply higher**, yet shipping is always full of such impressive, unexpected changes.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

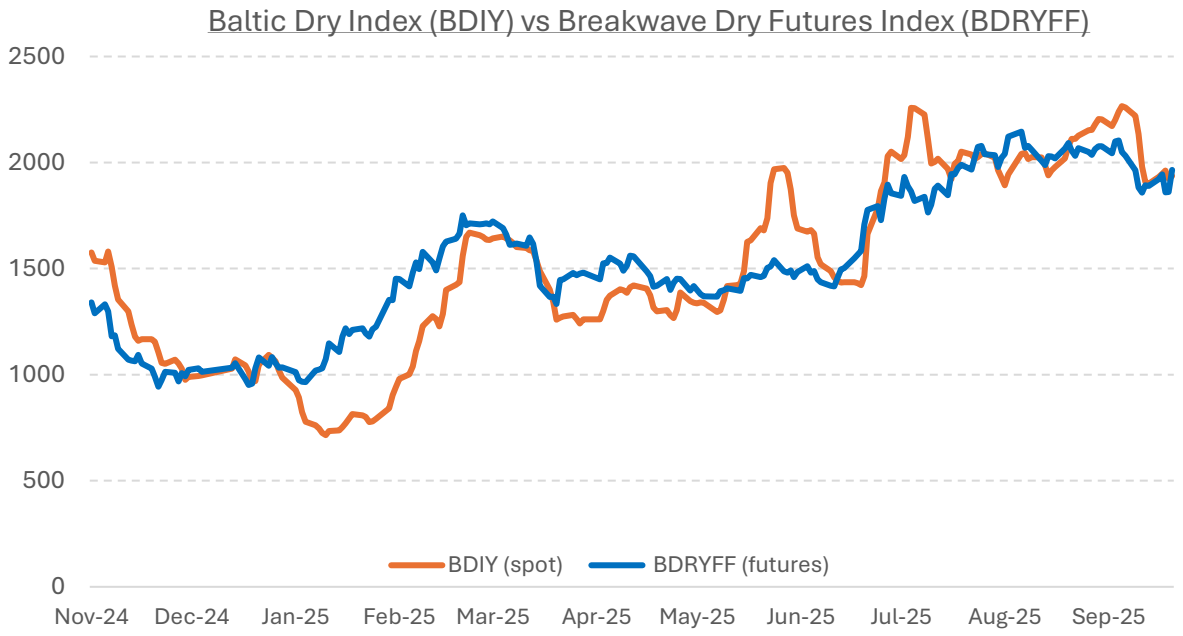
Short-term Indicators	
Momentum:	Positive
Sentiment:	Positive
Fundamentals:	Neutral

Breakwave Dry Futures Index:	1965
30D: -5.0%	↓
YTD: 93.8%	↑
YOY: 6.3%	↑

Baltic Dry Index (spot):	2144
30D: 0.8%	↑
YTD: 94.2%	↑
YOY: 7.0%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	672mt	-2.8%
China Steel Inventories	4.7mt	49.0%
China Iron Ore Inventories	133mt	-9.5%
China Iron Ore Imports	919mt	-0.1%
China Coal Imports	346mt	-11.1%
China Soybean Imports	86mt	5.3%
Brazil Iron Ore Exports	266mt	5.4%
Australia Iron Ore Exports	599mt	-0.5%

Supply		
Dry Bulk Fleet	1056 mdwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,546	-16.4%
Capesize Spot Rates, Average	19,081	-20.7%
Panamax Spot rates, Average	11,294	-18.1%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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